Solution

$$\text{Debt equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' funds}} = \frac{80{,}000}{1{,}60{,}000} = 0.5:1$$

Long term debt = Debentures = ₹ 80,000
Shareholders' funds = Equity share capital + Reserves and surplus
= 1,00,000 + 60,000 = ₹ 1,60,000

(ii) Proprietary ratio

Proprietary ratio gives the proportion of shareholders' funds to total assets. Proprietary ratio shows the extent to which the total assets have been financed by the shareholders' funds. It is calculated as follows:

$$\text{Proprietary ratio} = \frac{\text{Shareholders' funds}}{\text{Total assets}}$$

Higher the proprietary ratio, greater is the satisfaction for lenders and creditors, as the firm is less dependent on external sources of finance.

Illustration 5

From the following Balance Sheet of Pioneer Ltd. calculate proprietary ratio:

Balance sheet of Pioneer Ltd. as on 31.3.2019

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
(i) Equity share capital	1,00,000
(ii) Preference share capital	75,000
(b) Reserves and surplus	25,000
2. Non-current liabilities	
Long-term borrowings	-
3. Current liabilities	
Trade payables	2,00,000
Total	**4,00,000**
II ASSETS	
1. Non-current assets	
(a) Fixed assets	2,75,000
(b) Non-current investments	50,000
2. Current assets	
Cash and Cash equivalents	75,000
Total	**4,00,000**

Solution

$$\text{Proprietary ratio} = \frac{\text{Shareholders' funds}}{\text{Total assets}} = \frac{2{,}00{,}000}{4{,}00{,}000} = 0.5:1$$

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